

Federal Maritime Commission

Docket No. 19-09

VERTERRA LTD.

COMPLAINANT,

v.

D.B. GROUP AMERICA LTD. and

D.B. GROUP INDIA LTD.

RESPONDENTS.

**REPLY MEMORANDUM OF LAW IN SUPPORT OF RESPONDENTS' MOTION TO DISMISS,
OR IN THE ALTERNATIVE, MOTION TO STAY THE PROCEEDINGS**

Respondents D.B. GROUP AMERICA LTD. and D.B. GROUP INDIA LTD. ("Respondents"), by and through their undersigned counsel of record, hereby file this Reply Memorandum of Law in support of Respondents' Motion to Dismiss, or in the alternative, Motion to Stay Proceedings.

This case should be dismissed, or, in the alternative, stayed, and Petitioner's forum shopping should be soundly rejected. Petitioner agreed in writing to irrevocably consent to the jurisdiction of the New York courts, and then Petitioner voluntarily invoked the jurisdiction of the New York state courts when it filed its five (5) counterclaims, including one counterclaim for unjust enrichment based on alleged violations of the Shipping Act in the New York Action. Petitioner did not move to dismiss the Complaint or even raise jurisdiction as a defense in the Verified Answer and Counterclaims it filed in the New York Action. Petitioner fails to explain why it filed the unjust enrichment counterclaim before a New York state court instead of filing an action in the first instance before the Federal Maritime Commission ("Commission" or "FMC"). It makes no difference if Petitioner intended to file a complaint

with the Commission. They failed to do so before they invoked the jurisdiction of the New York state courts. Their attempt to pursue identical claims with respect to the alleged Shipping Act violations before two separate forums is fundamentally unfair and contrary to principles of judicial comity. Moreover, dismissal is warranted because the New York courts have concurrent jurisdiction on Shipping Act claims that are essentially contract claims. Accordingly, Respondents' respectfully request that Petitioner's Verified Complaint be dismissed.

Petitioner's repeated and baseless argument that Respondents admitted to violations of the Shipping Act are both false and violate the Commission's policy of encouraging settlement negotiations, as shown in 46 C.F.R. 502.75 and Federal Rule of Evidence 408. Any discussion with Petitioner's counsel regarding an internal review of its FMC compliance practices was part of settlement discussions. See Affirmation of Richard Altman, Esq., attached as Exhibit 4. Further, any such voluntary disclosure did not contain admissions and was not specific to Petitioner or its claims. *Id.* Petitioner's reliance on such discussions is improper and should be rejected.

I. THE FORUM SELECTION CLAUSES SPECIFYING THE EXCLUSIVE JURISDICTION BEFORE NEW YORK COURTS WARRANTS DISMISSAL.

The forum selection clauses in both the Credit Application and the Terms and Conditions are presumptively enforceable because they were communicated to Petitioner, are mandatory, and cover the parties involved in the dispute. *Martinez v. Bloomberg*, 740 F.3d 211, 217 (2d Cir. 2014).¹

Petitioner's claims that the Credit Application was not reasonably communicated because an email subject line indicated that the documents were for a trial shipment. Petitioner's Opp'n at 8. Petitioner further claims that the Terms and Conditions were not reasonably communicated because of

¹ Despite Petitioner's arguments to the contrary, the Commission has honored agreements to arbitrate in forum-selection clauses. See, e.g., *Sea-Land Dominicana, S.A. v. Sea-Land Service, Inc.*, 26 S.R.R. 184, 187-89 (ALJ). The same rationale applies to the instant case where the parties clearly and irrevocably agreed to adjudicate their claims before New York courts.

an email instructing Petitioner to disregard a portion of the document. *Id.* at 10. However, Petitioner's claim that such parole evidence undermines the plain language of the documents that were signed by Michael Dwork, President of Petitioner VerTerra, is disingenuous and contrary to the law. "Evidence outside the four corners of the document as to what was really intended but unstated or misstated is generally inadmissible to add or vary the writing." *Kailasanathan v. Mysorekar*, 234 A.D.2d 425 (2nd Dep't 1996) (citations omitted).² Neither the Credit Application nor the Terms and Conditions were, on their face, limited in time. See Respondents' Memorandum of Law in Support of Respondents' Motion to Dismiss, or in the Alternative, Motion to Stay the Proceedings ("Respondents' Opening Brief"), Ex. 1 at Ex. A & Ex 2. In the Terms and Conditions, which state on its face that it "constitute[s] a legally binding contract", Mr. Dwork, as President of VerTerra irrevocably consented to the jurisdiction of the federal and state courts in New York." *Id.* at Ex. 2. In addition, Mr. Dwork agreed to the "personal jurisdiction of the State of New York" in the Credit Application. *Id.*, Ex. 1 at Ex A. Petitioner is a sophisticated, international manufacturer, and it defies belief that an officer of the company would disregard documents containing legal terms and conditions. Mr. Dwork received both the Credit Application and the Terms and Conditions, and signed both with the applicable attached legal terms. Mr. Dwork does not deny receiving the documents, he does not deny signing them, and he does not claim to have been confused by their contents. See Dwork Aff. The forum selection clause was, therefore, reasonably communicated.

Petitioner's argument as to whether the forum selection clause is permissive or mandatory mischaracterizes Respondents' Opening Brief. *Global Seafood Inc.* states that a forum is mandatory if it confers exclusive jurisdiction OR incorporates obligatory venue language. *Global Seafood Inc. v. Bantry*

² Petitioner's attempts to allege fraud to escape the plain meaning of the Credit Application and the Terms and Conditions must fail. Petitioner's Opp'n at 10. Petitioner did not allege fraud in its FMC Complaint, and it is not an allegation before this Commission. See FMC Compl.

Bay Mussels, Ltd., 659 F.3d 221 (2d Cir. 2011). Although venue is not specified in the Credit Application, it is clear that exclusive jurisdiction is conferred to the courts in the State of New York in the credit terms on the Credit Application. Additionally, the Terms and Conditions are mandatory with respect to both conferring exclusive jurisdiction in New York and the obligatory venue of the United States District Court of New York and the state courts of New York. See Respondents' Opening Brief, Ex. 1 at Ex. A & Ex 2.

Finally, with respect to the third factor, the FMC Complaint and Petitioner's unjust enrichment counterclaim are substantially similar. Petitioner alleges technical violations of the Shipping Act with respect to tariff publication and adherence to NSA and NRA requirements. Petitioner further alleges discriminatory practices grounded in charging rates higher than others or threatening to retain freight. Compare FMC Compl. ¶¶ 40-45 with Respondents' Opening Brief at Ex. 3 ¶¶ 43-57 (VerTerra's Answer and Counterclaims). Both seek the same relief, and Petitioner's arguments to the contrary must fail. Similarly, the fact that D.G. Group India Ltd. is not a party to the New York Action has no impact on Petitioner's claims. Except for an assertion that a sub-set of bills of lading are issued by D.G. Group India Ltd., all allegations in Petitioner's FMC Complaint are directed to D.B. Group America, Ltd. See FMC Compl. Petitioner contracted with D.B. Group America, Ltd. to provide shipping and/or logistics services to Petitioner, and Petitioner had no direct contact with D.G. Group India Ltd. If D.G. Group India Ltd. shipped Petitioner's products or was listed on a bill of lading, it is merely as D.B. Group America, Ltd.'s corporate affiliate. Any recovery that Respondent seeks in the New York Action can be obtained through D.B. Group America, Ltd.

II. PETITIONER'S ALLEGATIONS ARE INHERENTLY BREACH OF CONTRACT CLAIMS THAT WARRANT DISMISSAL.

Section 8(c) of the Shipping Act provides that: "Unless the parties agree otherwise, the exclusive remedy for a breach of a contract entered into under this subsection shall be an action in an appropriate court." The language of this provision makes clear that the legislative intent was that certain Shipping

Act claims could be brought before either the courts or the Commission. The test to determine whether a matter should be dismissed under Section 8(c) is more fully set forth as follows:

We believe the more appropriate test is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements ***peculiar*** to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim.

Cargo One, Inc. v. COSCO Container Lines Company, Ltd., 28 S.R.R. 1635 (2000) (emphasis added).³ In applying this test, the Commission held that certain violations of the Shipping Act alleged, such as demanding tariff rates in lieu of the agreed upon service contract rate or denying vessel space for shipment as specified in the service contract were “substantially contract law claims.” *Id.*; see also *Kamara v. Honesty Shipping Service*, 29 S.R.R. 321 (ALJ 2001) (“It is not clear that a carrier’s simple failure to remit payment to a subcontracting carrier constitutes a Shipping Act violation, although the shipper would certainly have a commercial contractual claim”).⁴

First and foremost, the parties did “otherwise” agree to jurisdiction before New York courts as Section 8(c) allows. See Ex. 1 at Ex. A (VerTerra Credit Application) & Ex. B. (Terms and Conditions). Moreover, the dispute between the Parties is based upon Petitioner’s failure to pay for services rendered, and Petitioners are pursuing the alleged Shipping Act violations as a defense to Respondents’

³ The language of the *Cargo One* test is if the allegations “involve elements peculiar to the Shipping Act” and not “particular” as incorrectly quoted by Petitioners. See Petitioner’s Opp’n at 6. This distinction is important, because any Shipping Act violation does not defeat dismissal, and the presumption is that allegations that are essentially breach of contract claims will be dismissed. *Cargo One, Inc.*, 28 S.R.R. at 1645.

⁴ The alleged violations were under Sections 10(b)(1) and (3), the pre-OSRA citations to Section 10. *Id.* Although Petitioner relies heavily on the decision in *Baltic Auto Shipping, Inc. v. Hitirinov et al.*, No. 14-16 (FMC Feb. 2, 2015), the claims before the United States District Court for the District of New Jersey in *Baltic* were for breach of a settlement agreement, and a request to enjoin Baltic from proceeding before the Commission. It was not a situation where two courts were asked to evaluate the same claims at the same time. Moreover, the Petitioner in *Baltic* did not invoke the jurisdiction of the federal court as Petitioner invoked the jurisdiction of the New York state court by voluntarily filing its counterclaim. As set forth clearly in *Cargo One*, the FMC does not have exclusive jurisdiction, and Section 8(c) requires a determination of whether the claims are peculiar to the Shipping Act or more appropriately considered as part of a breach of contract claim.

claims in the New York Action. Petitioner invoked the jurisdiction of the New York state court, and asserted a counterclaim for unjust enrichment based upon the same Shipping Act violations alleged in this action seeking restitution not less than \$200,000. Respondents' Opening Brief, Ex. 3 at ¶¶ 50-52 & 56-57.⁵ It did so because Petitioner's claims are inextricably tied to Respondents' contract law claims.

III. DISMISSAL IS WARRANTED IN DEFERENCE TO THE FIRST-FILED NEW YORK ACTION.

Petitioner attempts to escape the general rule in New York that "the court which has first taken jurisdiction is the one in which the matter should be determined, and it is a violation of the rules of comity to interfere." *White Light Productions, Inc.*, 231 A.D.2d at 96 (citations omitted). It does so by arguing that the parties are not identical and the claims are not duplicative. This argument fails.

Petitioner's position that the claims before the Commission and the resulting "award of statutory reparations would far out shadow DBGA's minor claims against Respondent and/or Michael Dwork for short payment on a small subset of those same actions" underscores what is truly at play in this litigation. Petitioner's Opp'n at 12. Petitioner does not believe it should pay the balance due Respondent of \$46,529.86, even though services were rendered and the rates were agreed upon between the parties. Rather, Petitioner has asserted the unjust enrichment counterclaim in the New York Action and it has filed the Complaint in the FMC Action in a strategic attempt to avoid payment.

Although the parties are not identical, Federal courts do not require the parties or claims to be identical. *Nakash v. Marciano*, 882 F.2d 1411 (9th Cir. 1989) ("We agree that exact parallelism does not

⁵ Petitioner misrepresents the status of the unjust enrichment claim in the New York Action. Respondents did not move to dismiss the duplicative unjust enrichment claim in the New York Action in its entirety. Rather, Respondents seek to limit the relevant period for which Petitioner can seek recovery based on the limitations period agreed to by the Parties in the Terms and Conditions. The Parties agreed that all suits "arising out of ocean transportation" must be filed and properly served "within one (1) year from the date of loss." See Respondents' Opening Brief, Ex 2 at 3, ¶ 3. Petitioner's claims prior to July 3, 2018, which takes into consideration the Tolling Agreement signed by the Parties, are barred by the contractual limitations period. Such a limitation would be equally applicable in an FMC action on the issue of damages. A claim that an action or portion of an action is barred by the statute of limitations is an affirmative defense. See Fed. R. Civ. P. 8(c)(1), made applicable to this proceeding by 46 C.F.R. § 502.12.

exist, but it is not required. It is enough if the two proceedings are substantially similar.”) (citations omitted). Where, as here, two actions are substantially similar, deference to the first-filed action is appropriate, and it is within the discretion of federal courts to dismiss, stay or otherwise abate the federal case. See *Colorado River Water Conservation District v. United States*, 424 U.S. 1 (1983), clarified by *Moses H. Cone Memorial Hospital v. Mercury Constr. Corp.*, 460 U.S. 1 (1983).

The FMC Complaint and Petitioner’s unjust enrichment counterclaim are substantially similar. As set forth above, Petitioner alleges technical violations of the Shipping Act – all of which seek the same relief – damages or reparations in the form of disgorgement of profit. As such, these actions are substantially similar. Moreover, the only difference with respect to the Shipping Act claims in both courts is that D.B. Group India Ltd. is not a party to the New York Action while Michael Dwork is a party to the New York Action. As set forth above, the fact that D.B. Group India Ltd., is not a party will have no impact on Petitioner’s claims because all of the shipments were arranged by D.B. Group America, Ltd. even if D.B. Group India Ltd. is listed on certain bills of lading. Retaining jurisdiction over a duplicative action where “the only difference is the absence of all of the corporate entities owned and operated by the parties” is not warranted. *Nakash v. Marciano*, 882 F.2d at 1417. Similarly, Michael Dwork’s presence as a party in the New York Action favors dismissal because the New York state courts are, therefore, positioned to more fully evaluate the Parties’ claims. Moreover, Courts should be “particularly reluctant to find that the actions are not parallel when the federal action is but a ‘spin-off’ of more comprehensive state litigation.” *Id.* The New York Action is more comprehensive in that it includes Respondents’ allegations for non-payment, Petitioner’s four common-law counterclaims, Petitioner’s counterclaim couched in Shipping Act violations, and Shipping Act defenses asserted by Petitioner.

Although it is true that the ALJ declined to issue a stay in the *Baltic* case, the underlying facts in that case are clearly distinguishable as they involved a separate federal court action regarding breach of

a settlement agreement. *Baltic Auto Shipping, Inc. v. Hitrinov*, No. 14-16 (FMC Feb. 2, 2015). To the contrary, where, as here, the claims are duplicative and being pursued in two separate forums at the same time, comity principles require an analysis of whether or not it is fundamentally fair for the parties to be forced to simultaneously pursue either the prosecution or defense in two different forums.

As set forth in Respondents' Opening Brief, and as detailed above in Respondents' discussion on Section 8(c) of the Shipping Act, state courts have concurrent jurisdiction with the FMC on federal maritime litigation. *Dampskibsselskabet Torm A/S v. P.L. Thomas Paper Co.*, 26 A.D.2d 347, 353 (1st Dep't. 1966) (holding federal preemption does not exclude state courts from exercising jurisdiction over Shipping Act claims). In addition, federal courts do not have exclusive, primary jurisdiction over Shipping Act claims. *See id.*; *Triomphe Disc Corp. v. Chilean Line*, 93 A.D.2d 228 (1st Dep't 1983).

Although Petitioners argue that *Triomphe* can be read to stand for the proposition that the Commission should adjudicate the "reasonableness" of shipping rates, *see* Petitioner's Opp'n at 14, that is not the case here or in Petitioner's duplicative state court counterclaim. As set forth above, Petitioner alleges technical violations of the Shipping Act. FMC Compl. ¶¶ 40-45; Respondents' Opening Brief at Ex. 3 ¶¶ 43-57. A New York state court is more than capable of determining whether Respondent violated the technical tariff publication rules, charged Petitioner rates higher than it charged others, and whether or not Petitioner is entitled to damages in the form of disgorgement of profits. *See, e.g., CMI Distribution, Inc. v. Service By Air, Inc.*, No. 17-05, 2019 WL 4734318 *8, n.8 (FMC 2019) (Reparations under the Shipping Act take the form of disgorgement of profits). Determining technical violations and calculating a straight disgorgement-of-profit claim does not require the expertise of the Commission and may easily be determined in the New York Action. *Triomphe Disc Corp.*, 93 A.D.2d at 231 ("Where the technical expertise and special discretion of the commission are not otherwise required, a court is competent to make a determination of a nontechnical nature based on an uncomplicated set of facts."); *see also Good v. American Pioneer Title Insurance Co.*, 12 A.D.3d 401 (2d

Dep't 2004) (complaint alleging that defendant charged rates in excess of that allowed by administrative agency "presented questions of law cognizable by the court" where "the relevant provisions of the Rate Manual did not involve such intricate and technical matters as would warrant referral to the rate-making agency").

The FMC should defer to the New York State courts and permit the New York Court to adjudicate the matter where the state litigation more comprehensively addresses the claims between the Parties, the New York action was first-filed, Respondent voluntarily invoked the jurisdiction of the New York state court, and where Petitioner's Shipping Act claims are proffered only as a defense to Respondents' breach of contract claim to strategically avoid paying for services rendered by Respondent. Permitting Respondent to pursue the same claim in two different forums is fundamentally unfair and contrary to the principles of comity and judicial economy.

IV. ALTERNATIVELY, THIS CASE SHOULD BE STAYED IN FAVOR OF THE FIRST-FILED NEW YORK ACTION.

Alternatively, Petitioners respectfully submit that a stay is appropriate in this action. As set forth in Respondents' Opening Brief, application of the multi-factor test to determine if a stay is warranted favor staying this action. The New York Action was first-filed, the parties are New York-based companies, New York is a more convenient forum, the Credit Application and Terms and Conditions are governed by New York law, and the New York court is competent and capable to make a legal finding as to the alleged technical violations of the Shipping Act and damages calculation, if any. *General Motors LLC v. Nipon Yusen Kabuishiki Kaisha et al.*, No. 15-08, Federal Maritime Commission (Jan 5, 2016).⁶

⁶ Petitioner argues that this case should be rejected because the request for a stay in *General Motors* was made by a joint motion. Petitioner's Opp'n at 16. Regardless of whether or not the motion was submitted jointly, the ALJ fully considered and analyzed the factors relevant to whether or not to grant a stay, and granted the stay in that matter. *Id.* (citing *Profile Manufacturing, Inc. v. Ronald Kress*, 1994 U.S. App. LEXIS 6048, at *7 (Fed. Cir. 1994)).

Petitioner's rely heavily upon the decisions in *Pro Transport* and *Baltic* to oppose a stay in these proceedings. See Petitioner's Opp'n at 16-17. Unlike the ALJ's analysis in *General Motors*, it is unclear how the balancing of the factors in *Pro Transport* were applied or favored a stay. *Pro Transport v. Seaboard Marine of Florida*, No. 16-12 (FMC Aug 16, 2016). Additionally, the Petitioner in *Baltic* invoked only the FMC action and did not also voluntarily invoke state court jurisdiction. *Baltic Auto Shipping, Inc. v. Hitrinov*, No. 14-16 (FMC Feb. 2, 2015). Further, Although the *Baltic* decision stated that the Commission has exclusive jurisdiction to administer Shipping Act claims, this holding is contrary to the decision in *Cargo One, Inc. v. COSCO Container Lines Company, Ltd.*, No. 99-24 (FMC Oct. 31, 2000). As set forth in a careful, lengthy opinion, the Commission made clear that the ALJ is required to perform an analysis in the unique factual context of the claims at issue to determine if the allegations are unique to the Shipping Act or if they are more appropriately characterized as a contract claim. *Id.*

CONCLUSION

For the foregoing reasons, Respondents respectfully request that Respondents' Motion to Dismiss, or in the alternative, Motion to Stay Proceedings be granted, and that your Honor enter an Order dismissing and/or staying this action.

Undersigned counsel, per 46 C.F.R. § 502.2 (f)(3), certifies that this e-filed copy is a true and correct copy of the paper original, and that the paper signed original and five (5) copies are being filed with the Secretary of the Commission.

Respectfully submitted this, the 4th day of February, 2020.

REISMAN, RUBEO & ALTMAN, LLP



RICHARD S. ALTMAN, ESQ.
DANIELLE M. WHITE, ESQ.
Attorneys for Respondents
151 Broadway
Hawthorne, New York 10532
(914) 495-3050
raltman@rrallp.com
dwhite@rrallp.com

CERTIFICATE OF SERVICE

I hereby certify that I have this 4th day of February, 2020, served a copy of the foregoing document upon all parties by electronic mail.



RICHARD S. ALTMAN, ESQ.
DANIELLE M. WHITE, ESQ.
Attorneys for Respondents
151 Broadway
Hawthorne, New York 10532
(914) 495-3050
raltman@rrallp.com
dwhite@rrallp.com

Exhibit 4

Federal Maritime Commission

Docket No. 19-09

VERTERRA LTD.

COMPLAINANT,

v.

D.B. GROUP AMERICA LTD. and

D.B. GROUP INDIA LTD.

RESPONDENTS.

**AFFIRMATION OF RICHARD S. ALTMAN, ESQ. IN SUPPORT OF RESPONDENTS'
MOTION TO DISMISS, OR IN THE ALTERNATIVE, MOTION TO STAY THE PROCEEDINGS**

STATE OF NEW YORK)
) ss:
COUNTY OF WESTCHESTER)

Richard S. Altman, an attorney duly admitted to practice before the Courts of the State of New York, hereby affirms the following under penalty of perjury:

1. I am a member of the firm of Reisman, Rubeo & Altman, LLP, counsel to D.B. Group America Ltd. ("D.B. Group"), Plaintiff in the above-captioned action. I make this Affirmation in Support of Respondent's Motion to Dismiss, or in the Alternative, Motion to Stay the Proceedings, and in Reply to Petitioner's Opposition to Respondent's Motion.

2. I have reviewed the Affirmation of Christopher J. Sovak in Support of Defendants' Cross-Motion to Stay and in Opposition to Plaintiff's Motion to Dismiss in the New York Action (the "Sovak Affirmation").

3. The substance of the Sovak Affirmation is a complete mischaracterization of our discussions. Contrary to the assertion is Section 3 of the Sovak Affirmation, at no point in my discussions with Mr. Sovak did I state, in words or in substance, that "...D.B. Group America Ltd. had filed a document with the FMC admitting to certain violations of the Shipping Act in connection with the issues raised by VerTerra as to the shipments at issue."

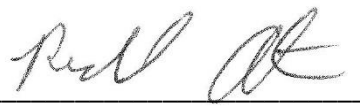
4. Section 3 of the Sovak Affirmation also states that "VerTerra and Dwork have not received a copy of said document...nor been able to locate it on the FMC website." The document is not on the FMC website for a simple reason: no such document was filed and no such admission was made.

5. I did mention to Mr. Sovak, in general terms, that D.B. Group was planning to conduct an internal review of its FMC compliance practices with regard to the FMC's tariff publishing requirement. The internal review is not specific to VerTerra and D.B. Group has not completed its review and has made and no admission.

6. It should also be noted that any discussions between myself and Mr. Sovak on this issue were explicitly with respect to settlement negotiations, which were underway at the time.

7. For the reasons set forth herein, the Sovak Affirmation should be stricken from the record.

Dated: Hawthorne, NY
February 3, 2020


Richard S. Altman